



Ask Your Neighbor

Assume women's entry into the labor force from 1950-1994 reflected changes in preferences. Using the Chapter 5 Social Planner's model, this would most likely cause

- A. Employment and real wages to increase
- B. Employment to increase but real wages to decrease
- C. Employment to decrease but real wages to increase
- D. Employment and real wages to decrease



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Assume there is a decrease in Government spending. Using the Chapter 5 Social Planner's model, this would most likely cause

- A. GDP and real wages to increase
- B. GDP to increase but real wages to decrease
- C. GDP to decrease but real wages to increase
- D. GDP and real wages to decrease



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Assume there is an increase in Government spending on education that leads to an increase in Total Factor Productivity. Using the Chapter 5 Social Planner's model, this would most likely cause

- A. GDP and Utility to both be higher than if G were “unproductive”
- B. C and GDP to both be higher than if G were “unproductive”
- C. Real wages and the MRS to both be higher than if G were “unproductive”
- D. All of these things